

26STCV06588 26STCV06588

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Case Number: 26STCV06588 Hearing Date: July 29, 2026 Dept: 413

TENTATIVE RULING

HEARING DATE: 07/29/2026

CASE NUMBER: 26STCV06588

CASE NAME: HKSS, INC., A CALIFORNIA CO... vs KEVIN KYUNG LEE, et al.

MOVING PARTY: Defendants JMAAB ENTERPRISE,
INC. and Jeffrey Mikel Allbrook

OPPOSING PARTY: None

PROCEEDING: Motion to Compel Mediation and arbitration

RULING

SUMMARY: Defendants JMAAB

Enterprise, Inc. and Jeffrey Mikel Allbrook's Motion to Compel Mediation and
Arbitration is denied. The Case

Management Conference is continued to _____, 2026, at 8:30AM.

Background

On

February 27, 2026, Plaintiff HKSS, Inc. ("Plaintiff") filed its Complaint
against Kevin Kyung Lee ("Lee"), Masters Realty Eastern Group Inc ("Masters
Realty"), JMAAB Enterprise, Inc. ("JMAAB"), and Jeffrey Mikel Allbrook
("Allbrook"), alleging six causes of action for (1) Breach of Fiduciary

Duty against Lee and Masters Realty; (2) Professional Negligence against Lee and Masters Realty; (3) Constructive Fraud against Lee, Masters Realty; (4) Unfair Business Practices (Bus. & Prof. Code § 17200) against Lee and Masters Realty; (5) Breach of Contract against JMAAB and Allbrook; (6) Declaratory Relief against all defendants.

On

April 10, 2026, JMAAB and Allbrook (collectively "Moving Defendants") filed this Motion to Compel Mediation and Arbitration.

On May

13, 2026, Lee and Masters Realty filed their Answer to the Complaint.

On May

27, 2026, after the appearances of Lee and Masters Realty, Moving Defendants filed their Proof of Service indicating service on Plaintiff, Lee, and Masters Realty of the Motion to Compel Arbitration.

On June

16, 2026, Plaintiff filed a substitution of attorney form, showing a change of counsel from Andrew Kang to Jean Kwon. On

June 17, 2026, Plaintiff filed a duplicate substitution form. On June 29, 2026, Plaintiff filed a substitution of attorney form, showing a change of counsel from Jean Kwon to Brad Lee.

No

Opposition to the Motion to Compel Arbitration has been filed.

LEGAL

STANDARD

A.

Mediation

While there is a statutory scheme to compel binding arbitration (Code Civ. Proc., § 1281.2), no statute provides for such procedures to compel mediation.

Moving Defendants have offered case or statutory authority for compelling mediation. They base their request on Code of Civil Procedure section 1281.2. Moving Defendants'

cited case, *Frei v. Davey* (2004) 124 Cal.App.4th 1506, did not involve a motion to compel mediation; it addressed whether a contractual provision precluding recovery of attorneys' fees by a party that refused to mediate was enforceable.

Accordingly, Moving Defendants' request to compel mediation is denied.

B. Arbitration

California

law incorporates many of the basic policy objectives contained in the Federal Arbitration Act ("FAA"), including a presumption in favor of arbitrability. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 971-72.) Code of Civil Procedure section 1281.2 permits a party to file a motion to request that the Court order the parties to arbitrate a controversy. Under that provision, the Court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

(a) The right to compel arbitration has been waived by the petitioner; or

(b) Grounds exist for the revocation of the agreement.

(c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. For purposes of this section, a pending court action or special proceeding includes an action or proceeding initiated by the party refusing to arbitrate after the petition to compel arbitration has been filed, but on or before the date of the hearing on the petition. This subdivision shall not be applicable to an agreement to arbitrate disputes as to the professional negligence of a health care provider made pursuant to Section 1295.

(Code Civ. Proc. § 1281.2.)

Doubts as to

whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. (Id.) The Court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute. (Id. [" . . . unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement"].) Unless the parties clearly and unmistakably provide otherwise, the question of whether the parties agreed to arbitrate is to be decided by the court, not the arbitrator. (AT&T Technologies v. Communications Workers (1986) 475 U.S. 643, 649.)

The right to

arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. (Engineers & Architects Association v. Community Development Department (1994) 30 Cal.App.4th 644, 653.) There is no public policy favoring arbitration of disputes which the parties have not agreed to arbitrate. (Id.)

The

party seeking to enforce the arbitration agreement bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence. (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284.) The trial court first decides whether an enforceable arbitration agreement exists between the parties and then determine whether the plaintiff's claims are covered by the agreement. (Omar v. Ralphs Grocery Co. (2004) 118 Cal.App.4th 955, 961.)

The party

opposing the petition to compel arbitration bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. (Giuliano v. Inland Empire Personnel, Inc., supra, at 1284.) In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination. (Id.)

DISCUSSION

A.

Moving Defendants have not shown the existence of an arbitration agreement with the parties (the Plaintiffs) whom they are seeking to compel to arbitration.

Under both the Federal Arbitration Act ("FAA") and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (*Winter v. Window Fashions Professions, Inc.* (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code Civ. Proc. § 1281.2.) In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534, 541.)

Once petitioners allege that an arbitration agreement exists, the burden shifts to respondents to prove the falsity of the purported agreement, and no evidence or authentication is otherwise required to find the arbitration agreement exists. (See *Condee v. Longwood Mgt. Corp.* (2001) 88 Cal.App.4th 215, 219.) However, if the existence of the agreement is challenged, "petitioner bears the burden of proving [the arbitration agreement's] existence by a preponderance of the evidence" (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413. See also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1058-1060.)

"With respect to the moving party's burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court. (See *Condee, supra*, 88 Cal.App.4th 215, 218; see also Cal. Rules of Court, Rule 3.1330 ["A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference"].) Once such a document is presented to the court, the burden shifts to the party

opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges. [Citation]" (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

Here, Moving

Defendant presents that a valid written arbitration agreement exists – Plaintiff and non-moving defendants signed a Business Purchase Agreement ("BPA") that included an arbitration agreement in September 2025. The BPA shows HKSS's signature by Kyung Suk Han; JMAAB's signature by Allbrook; and Lee as the real estate broker to both HKSS and JMAAB. (Decl. Allbrook ¶ 3, Exh. 1.) The arbitration agreement reads, in relevant part:

42. ARBITRATION OF DISPUTES: A. The

Parties agree that any dispute or claim in Law or equity arising between them out of this Agreement or any resulting transaction, which is not settled through mediation, shall be decided by neutral, binding arbitration. The Parties also agree to arbitrate any disputes or claims with Agents(s), who, in writing, agree to such arbitration prior to, or within a reasonable time after, the dispute or claim is presented to the Agent. The arbitration shall be conducted through any arbitration provider or service mutually agreed to by the Parties. The arbitrator shall be a retired judge or Justice, or an attorney with at least 5 years of transactional Business Law experience, unless the Parties mutually agree to a different arbitrator. Enforcement of, and any motion to compel arbitration pursuant to, this agreement to arbitrate shall be governed by the procedural rules of the Federal Arbitration Act, and not the California Arbitration Act, notwithstanding any language seemingly to the contrary in this Agreement. The Parties shall have the right to discovery in accordance with Code of Civil Procedure § 1283.05. The arbitration shall be conducted in accordance with Title 9 of Part 3 of the Code of Civil Procedure. Judgment upon the award of the arbitrator(s) may be entered into any court having jurisdiction.

B. EXCLUSIONS: The following matters are

excluded from mediation and arbitration: (i) Any matter that is within the jurisdiction of a probate, small claims or bankruptcy court; (ii) an unlawful detainer action; and (iii) a judicial or non-judicial foreclosure or other action or proceeding to enforce a deed of trust, mortgage or Installment land sale contract as defined in Civil Code § 2985.

C. PRESERVATION OF ACTIONS: The following shall not constitute a waiver nor violation of the mediation and arbitration provisions; (i) the filing of a court action to preserve a statute of limitations; (ii) the filing of a court action to enable the recording of a notice of pending action, for order of attachment, receivership, injunction, or other provisional remedies, provided the filing party concurrent with, or immediately after such filing, makes a request to the court for a stay of litigation pending any applicable mediation or arbitration proceeding; or (iii) the filing of a mechanic's lien.

D. AGENTS: Agents shall not be obligated nor compelled to mediate or arbitrate unless they agree to do so in writing. Any Agents(s) participating in mediation or arbitration shall not be deemed a party to this Agreement.

E. "NOTICE: BY INITIALING IN THE SPACE BELOW YOU ARE AGREEING TO HAVE ANY DISPUTE ARISING OUT OF THE MATTERS INCLUDED IN THE 'ARBITRATION OF' DISPUTES' PROVISION DECIDED BY NEUTRAL ARBITRATION AS PROVIDED BY CALIFORNIA LAW AND YOU ARE GIVING UP ANY RIGHTS YOU MIGHT POSSESS TO HAVE THE DISPUTE LITIGATED IN A COURT OR JURY TRIAL. BY INITIALING IN THE SPACE BELOW YOU ARE GIVING UP YOUR JUDICIAL RIGHTS TO DISCOVERY AND APPEAL, UNLESS THOSE RIGHTS ARE SPECIFICALLY INCLUDED IN THE 'ARBITRATION OF DISPUTES' PROVISION. IF YOU REFUSE TO SUBMIT TO ARBITRATION AFTER AGREEING TO THIS PROVISION, YOU MAY BE COMPELLED TO ARBITRATE UNDER THE AUTHORITY OF THE CALIFORNIA CODE; OF CIVIL PROCEDURE YOUR AGREEMENT TO THIS ARBITRATION PROVISION IS VOLUNTARY."

"WE HAVE READ AND UNDERSTAND THE FOREGOING AND AGREE TO SUBMIT DISPUTES ARISING OUT OF THE MATTERS INCLUDED IN THE 'ARBITRATION OF DISPUTES' PROVISION TO NEUTRAL ARBITRATION."

(Decl.
Allbrook ¶ 3; Exhibit 1, p.42.)

As presented: Plaintiff's signature is dated September 26, 2025; Moving Defendants' signature is dated September 27, 2025; and the Real Estate Broker Section shows Master Realty's signature, through Lee, was signed on September 27, 2025.

Accordingly,

Moving Defendants meet its initial burden to show that an arbitration agreement between the parties exists and the burden shifts to the opposing parties.

Plaintiff

has not filed an Opposition. As such, Plaintiff fails to meet its burden to present any challenges to the enforcement of the agreement and evidence in support of such challenges. Likewise, "[t]he party resisting arbitration bears the burden of proving unconscionability." (Pinnacle Museum Tower Association v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 247.) No unconscionability challenges have been raised.

B.

The arbitration agreement is
subject to the FAA

As a threshold matter, the Court must determine which body of law – the FAA or the California Arbitration Act (Code Civ. Proc., § 1280 et seq.) ("CAA") – applies to the issues presented here as the two statutory schemes apply different standards and presumptions. The FAA embodies a strong federal policy favoring arbitration. To assure uniform results as to arbitrability of disputes subject to the FAA, conflicting state law is preempted under the Supremacy Clause: "Federal law in the terms of the Arbitration Act governs . . . [arbitrability] in either state or federal court." (Southland Corp v. Keating (1984) 465 U.S. 1, 12; Preston v. Ferrer (2008) 552 U.S. 346, 353. See also Muller v. Roy Miller Freight Lines, LLC (2019) 34 Cal.App.5th 1056, 1062 [FAA preempts any state law rule that "stand[s] as an obstacle to the accomplishment of the FAA's objectives"].)

The arbitration agreement states, in relevant part: "Enforcement of, and any motion to compel arbitration, pursuant to this agreement to arbitrate shall be governed by the procedural rules of the Federal Arbitration Act, and not the California Arbitration Act, notwithstanding any language seemingly to the contrary in this Agreement." (Decl. Allbrook ¶ 3; Exhibit 1, p.42.)

As noted above, the parties have

agreed that this Motion to Compel Arbitration is governed by the FAA.

C.

Masters Realty and Lee are not parties to the agreement containing the arbitration provision and are explicitly excepted from arbitration absent written consent to it.

The arbitration agreement explicitly carves out an exception for agents:

D. AGENTS: Agents shall not be obligated nor compelled to mediate or arbitrate unless they agree to do so in writing. Any Agents(s) participating in mediation or arbitration shall not be deemed a party to this Agreement.

(Decl. Allbrook ¶ 3; Exhibit 1, p.42.)

Moving Defendants do not address Masters Realty and Lee's position in the arbitration agreement. The claims in the complaint that Plaintiff asserted against the Moving Defendants appear to involve the very same transactions and facts as those that Plaintiffs alleged against Masters Realty and Lee.

Moving Defendants rely on Code of Civil Procedure section 1281.2 to support their motion, but their citation to that provision fails to include its language that the requirement to compel arbitration if an agreement to arbitrate exists does not apply where the court determines: "(c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact." (Code Civ. Proc. § 1281.2(c).)

Section 1281.2 also provides:

If the court determines that a party to the arbitration is also a party to litigation in a pending court action or special proceeding with a third party as set forth under subdivision (c), the court . . . (3) may order arbitration among the parties who have agreed to arbitration and stay the pending court action or special proceeding pending the outcome of the arbitration proceeding; or (4) may stay arbitration pending the outcome of the court action or special proceeding.

Moving Defendants have not addressed how the Court should address the issue of the best way to address the issue of how to proceed where issues of fact common to the allegations against the parties subject to the arbitration clause and the parties that are not subject to the arbitration clause need to be adjudicated. They also have not addressed whether there are any grounds to compel the non-signatory parties to the arbitration or whether those parties would oppose arbitration of the claims asserted against them.

As Moving Defendants have not addressed the issues noted above, which need to be determined in connection with its request to compel arbitration as to Plaintiffs' claims against them, Moving Defendants' Motion to Compel Arbitration is denied.

Conclusion

Defendants

JMAAB Enterprise, Inc. and Jeffrey Mikel Allbrook's Motion to Compel Mediation and Arbitration is denied. The Case Management Conference is continued to _____, 2026, at 8:30AM.

Date: 07/29/2026 _____

William

E. Weinberger

Judge,

Los Angeles Superior Court